

Palantir Technologies Inc.

PLTR NYSE

Hold	\$187.53 ▲ 0.67%	12M Price Target \$195.00	52-Week Range \$106.37 – \$207.52	Market Cap \$450.65B
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PLTR: Priced for Perfection as AI Tax Debate Heats Up

WHAT HAPPENED

- PLTR ticked up 0.67% to \$187.53 on light volume (16.7M vs 40M last week) — the stock ripped 8% from Aug 25-27 and is now digesting. Baird defending the \$448B valuation is the tell here: Wall Street is looking for reasons to stay bullish, which usually means the easy money's been made.
- Adam Schiff came out swinging on AI companies "pushing costs onto everyday Americans" and calling for a progressive tax code on them — that's the first real political shot across the bow for AI mega-caps, and PLTR is right in the crosshairs.

WHY IT MATTERS

Here's what I'm actually thinking: PLTR sitting at 80% of its 52-week range with a \$450B market cap means the market has already priced in a LOT of good news — the defense contracts, the AI hype, the commercial growth. The Schiff comments matter more than people realize because they're an early signal that Democrats are going to make "AI billionaires paying their fair share" a 2026 campaign issue, and PLTR's fat federal margins make them exhibit A. Meanwhile, insiders (Buckley) are quietly selling into the strength, which tells you what people close to the company think about the current price. The setup: huge business momentum, but valuation and political risk are both climbing — that's a "hold what you have, don't chase" situation.

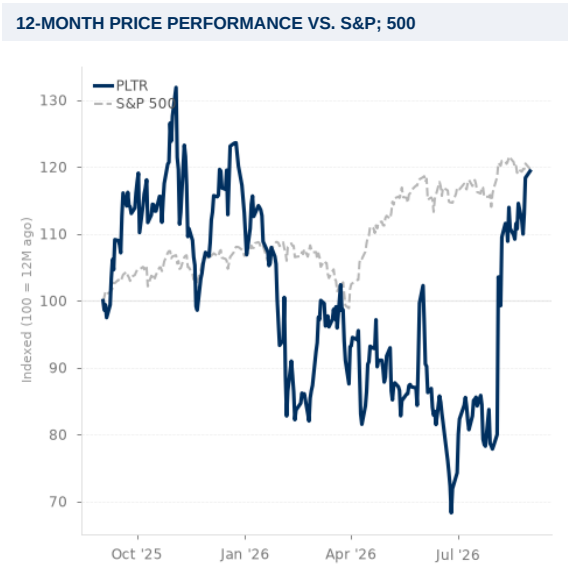
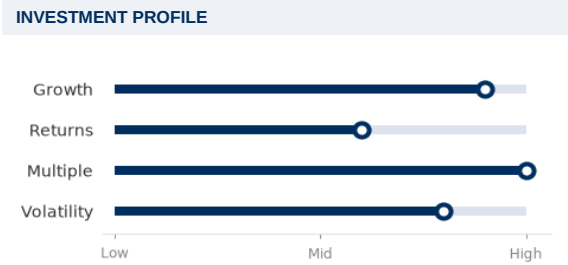
POLICY & POLITICAL WATCH

The big one to watch is the FY2027 defense authorization working through Congress — it reportedly includes expanded funding for AI-enabled command systems (PLTR's Maven contract is the prototype here), so passage is a direct tailwind. On the flip side, the Schiff-style "AI progressive tax" chatter is early but real — if it gains traction with the House Progressive Caucus, it could morph into a targeted tax on federal AI contractors, which would hit PLTR's margins specifically. Also keep an eye on the AI export control rules being redrafted at Commerce — tighter rules HELP PLTR (they're already cleared) but restrict their international commercial expansion.

IS IT EXPENSIVE?

This stock is expensive by any measure you want to use — investors are paying roughly \$300 for every \$1 of forward earnings, versus the S&P averaging around \$22. Put another way, you're paying about \$98 for every \$1 of revenue the company will do next year, when profitable software peers trade at \$10-15. That can be justified ONLY if revenue keeps growing 40%+ for several more years AND margins keep expanding — any stumble and this thing has a LONG way to fall to hit "reasonable."

Key Data	
Price (USD)	\$187.53
12M Price Target	\$195.00
Upside / (Downside)	+4.0%
Market Cap	\$450.65B
FY2026E Revenue	\$4,600M
FY2027E Revenue	\$6,100M
FY2026E EPS	\$0.62
FY2027E EPS	\$0.85
Fwd P/E	302.0x



PRICE OUTLOOK — SCENARIO TARGETS BY TIMEFRAME

TIMEFRAME	BULL CASE	BASE CASE	BEAR CASE
1 Month	\$210.00	\$190.00	\$165.00
6 Months	\$240.00	\$195.00	\$150.00
1 Year	\$275.00	\$205.00	\$130.00
2 Years	\$350.00	\$240.00	\$110.00
5 Years	\$500.00	\$300.00	\$90.00
10 Years	\$800.00	\$425.00	\$75.00

WHAT'S MOVING IN THE SECTOR

HEATING UP: Energy (+2% today) is catching a bid on geopolitical noise, and Tech is quietly up 3.2% over 5 days as AI infrastructure spending keeps ramping — that's a direct PLTR tailwind.

COOLING OFF: Healthcare and Staples both down on the week — classic defensive rotation OUT, which usually means risk-on names like PLTR keep getting bid.

ROTATION WATCH: Money is clearly flowing into AI-adjacent names beyond the Magnificent Seven (see the 24/7 Wall St. article calling PLTR a potential "next AI giant") — that's the exact narrative supporting the current price, but it's also crowded.

RELATED PLAY: If you believe the AI infrastructure story, the picks-and-shovels names — data center REITs (DLR, EQIX) and power/cooling suppliers (VRT) — are the second-derivative play with less valuation risk than PLTR.

WHO'S WINNING IN THIS SPACE?

- GRRR (Gorilla Technology): Up 5% today on AI infrastructure spending narrative — but that B- credit rating is a red flag, this is speculative sympathy trading.
- BBAI (BigBear.ai): Getting pitched as a "cheaper PLTR" in defense AI — it's a fraction of the size but shows investors are hunting for undervalued exposure to the same theme.

PLTR CONTEXT: PLTR is leading the peer group — it's the "premium" name and gets bid first when the AI/defense narrative runs. That's great when the theme's working, but it also means PLTR falls first and hardest when sentiment turns, because it's the most crowded trade in the group.

WHAT I'D DO WITH THIS STOCK

6/10 Conviction Score

CONVICTION: 6/10 — Great business, incredible momentum, but the valuation makes me cautious about pounding the table at \$187.

POSITION SIZE: 2-3% of portfolio — the upside case is real but the downside from these levels on any policy or growth wobble is substantial, so don't oversize.

ENTRY POINTS: I'd wait for pullbacks to the \$160-170 zone (which happens on any broad market fear day) rather than chase here at 80% of the 52-week range.

TIME HORIZON: 12-24 months — the catalyst path is Q3 earnings (commercial reacceleration proof), the FY27 defense bill passage, and getting past midterm election AI-policy noise.

WHEN TO BAIL: If revenue growth prints below 30% YoY, if a major federal contract gets clawed back, or if the AI-tax legislation gets a real House bill number and hearings.

HEDGING: Easiest way — if you own 100+ shares, buy a put option (basically insurance) at the \$170 strike a few months out; costs you a small premium but caps your downside if the stock cracks.